prices are calculated at real time, the NAV of a mutual fund scheme is calculated at the end of every day based on the investments accumulated at the end of the day.

When you buy mutual funds, you do not know the exact composition of the stocks or bonds where the money has been invested or will be invested in future. You are going to primarily trust the portfolio manager assigned to the mutual fund scheme to do the job he has been hired to do.

How mutual funds make money

Just like stocks, mutual funds generate money in two ways:

1. Through capital gains – Buy low and sell high.
2. Through cash flow – Income from securities in the portfolio i.e., dividends in the case of stocks and interest payments in the case of bonds.

Why you should invest in mutual funds

There are distinct advantages in holding mutual fund portfolios. Some of the salient ones are listed below:

1. They allow you to hold an extremely diversified portfolio at a very small investment. You might have a portfolio of the best 50 companies in the market with an investment as little as ₹500.
2. Portfolios are professionally managed, so you do not have to worry about picking up the right securities at the right time and selling them at an appropriate time.

Some demerits of mutual funds

While mutual funds have their own distinct advantages over stocks, they have certain demerits as well.